Avoiding Bad Faith Allegations In Property Claims

Western Loss Association Fall Conference
September 24, 2015

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Overview of Learning Objectives

- ✓Understand applicable good faith claim handling standards.
- ✓Understand potential implications of bad faith allegations.
- ✓Understand good faith claim handling practices and effective claim file management techniques.

Anyone? Anyone?

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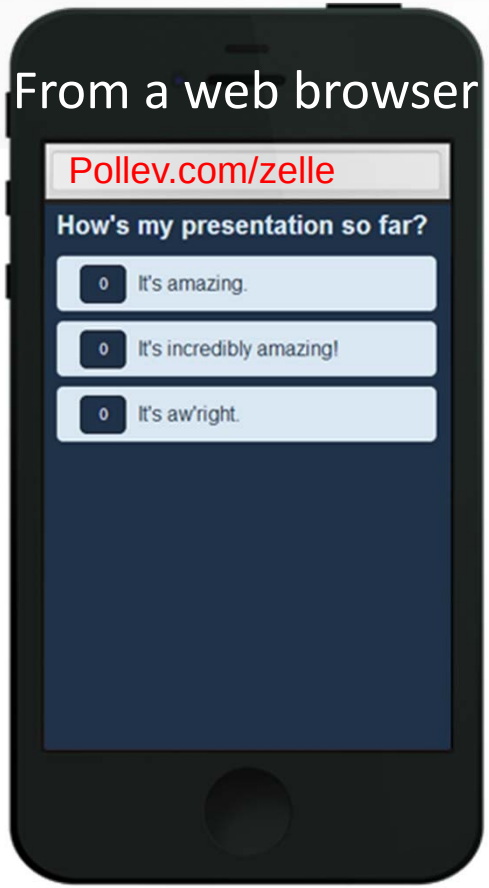

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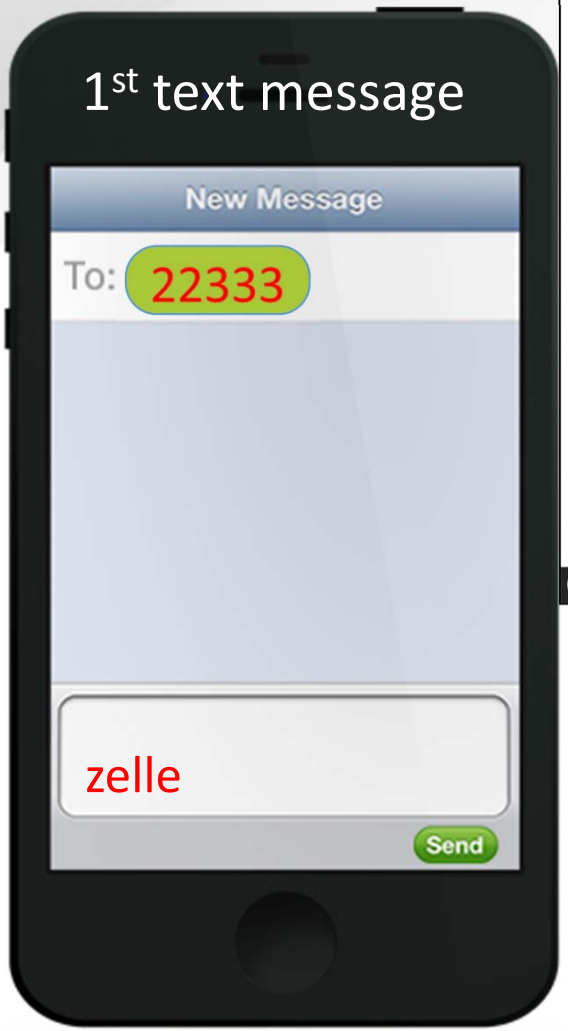

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(Mis)Perceptions of Insurance Industry

"Today the name of the game is *delay, deny, defend*: to improve their profits, insurance companies delay payment of justified claims, deny payment altogether, and defend their actions by forcing claimants to enter litigation."

"Your insurer's main objective is not to protect you; in fact, insurers often try to avoid paying justified claims."

"There are several reasons why insurance companies delay claim resolution, but they all seem to relate back to one thing – augmentation of corporate profit."

Insurance companies' bad faith denial of claims are "widespread, pervasive if not the norm, responsible for the greatest destruction and loss of . . . wealth, assets, businesses, jobs and poverty, and ultimate maximum loss of human life."

"It's unconscionable, and it's widespread. From stonewalling and lowballing claims to instigating arbitrary fraud investigations, insurance companies are increasingly failing to live up to their contractual commitments."

(Mis)Perceptions of Insurance Industry

Monty Python's Flying Circus:

Motor Insurance Sketch

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Quiz Time

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Why Should Insurers Handle Claims in Good Faith?

- Claims, traditionally, are handled in good faith
- It's the right thing to do
  - Every contract, including insurance policies, imposes upon each party a duty of good faith and fair dealing in its performance and its enforcement.
- To avoid bad faith claims and damages
  - An insurer which is found to have operated in bad faith may be liable for damages far in excess of the policy limits.

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Good Faith

- **Good Faith** has been defined as "an intangible and abstract quality with no technical meaning or statutory definition, and it encompasses, among other things, an honest belief, the absence of malice and the absence of design to defraud or to seek an unconscionable advantage. . . ."

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Bad Faith

- **Bad Faith** has been defined as an "insurance company's unreasonable and unfounded (though not necessarily fraudulent) refusal to provide coverage in violation of the duties of good faith and fair dealing owed to insured."

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Examples of 1st Party Bad Faith Claims Handling

- Untimely communication
- Unreasonable demands for proof of loss
- Failure to conduct thorough investigation
- Unreasonable demands during investigation
- Unreasonable delay in resolving claim
- Abusive and coercive tactics to force compromise of claim
- Deceptive practices to avoid paying part or entire claim
- Wrongful refusal to pay part or entire claim

Good Faith & Bad Faith:
Two Sides of the Same Coin

- "[T]he absence of good faith constitutes bad faith, and qualitative descriptions of good faith conduct are often compared to qualitative descriptions of bad faith conduct composed of terms that are simply the antonyms of terms used to describe good faith."

Good Faith Claim Handling Under the Law

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Types of First Party Bad Faith

- **Statutory Bad Faith**
- **Common Law**

Bad Faith Without Coverage?

- **Majority:** Bad faith claim is dependent on a finding of coverage under the insurance policy.

  No coverage = No bad faith

- **Minority**: In the absence of coverage, insurer may be liable for a bad faith claim if its claims handling is unreasonable.

Statutory Bad Faith

- **Statutes addressing bad-faith and unfair insurance claims settlement practices exist, in some form, in virtually every state**

- **Split as to whether a violation of a state's unfair claims settlement practices act gives rise to a private cause of action as opposed to only an administrative penalty**

Statutory Bad Faith

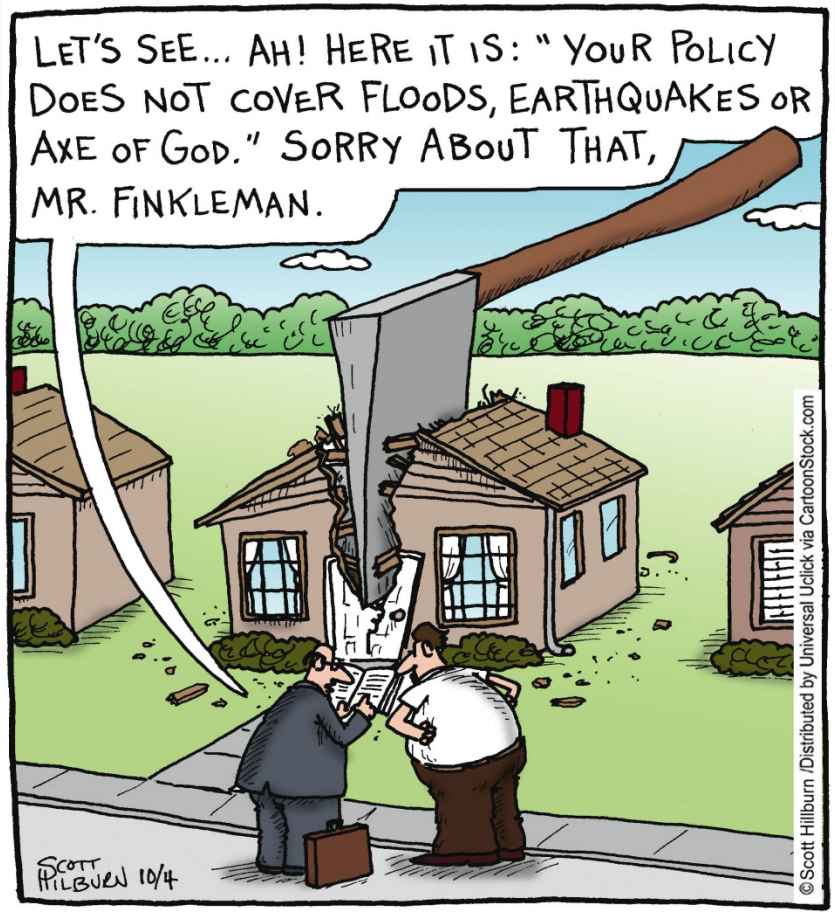
- **Largely a product of the National Association of Insurance Commissioners (NAIC) Model Unfair Claims Settlement Practices Act**

Statutory Bad Faith

The NAIC Model Act's prohibited practices involving *communications*:

- **Knowingly misrepresenting material facts or policy provisions related to coverage**
- **Failing to acknowledge relevant claims communications within a reasonable time period**
- **Failing to affirm or deny coverage of claims within a reasonable time after having completed investigation**
- **Failing to promptly provide a reasonable and accurate explanation of the basis for claims denials or settlement offers**
- **Failing to provide claims forms within 15 calendar days of a request (with reasonable explanations regarding use)**

Do Not Knowingly Misrepresent Coverage



Statutory Bad Faith

The NAIC Model Act's prohibited practices involving *claims activities*:

- **No good faith attempt to effectuate prompt, fair and equitable settlement of claims in which liability has become reasonably clear**
- **Compelling insureds to file suit to recover amounts due under the policy**
- **Refusing to pay claims without conducting a reasonable investigation**
- **Attempting to settle or settling claims for less than the amount that a reasonable person would believe the insured was entitled by reference to advertising material accompanying application**
- **Attempting to settle or settling claims on the basis of an application that was materially altered without notice to, or knowledge or consent of, the insured**

Statutory Bad Faith

The NAIC Model Act's prohibited practices involving *claims activities*:

- **Making claims payments to an insured or beneficiary without indicating the coverage under which each payment is being made**
- **Unreasonable delay by requiring both a formal proof of loss form and subsequent verification**
- **A "policy" of appealing arbitration awards in favor of insureds for the purpose of compelling them to accept settlements less than the arbitration award**
- **Delaying settlement where liability has become reasonably clear under one portion of the policy in order to influence settlement under other portions of the policy**

Statutory Bad Faith

- **Adoption of the NAIC Model Act has not been uniform**
- **Judicial interpretation of similar statutory requirements varies**

Common Law Bad Faith

- Split as to whether common law bad faith is recognized
- Split as to whether common law bad faith is a contract claim or a tort claim (dictates available damages)
- Where recognized, common law bad faith can typically be brought in addition to statutory bad faith

Common Law Bad Faith

- **Where Recognized, Common Law Bad Faith Liability Will Exist When:**
  1. **There is no reasonable basis to deny the claim; and**
  2. **The insurer knew or should have known that there was no reasonable basis for denying the claim**
- **Act Reasonably and Without Intent and Culpability**
- **Common law bad faith usually requires more than negligence, mistake or poor judgment**
- **Harder to prove than statutory bad faith**

Claim Handling in Common Law Bad Faith States

- Very difficult to make generalizations about what is happening in the courts
- Bad faith law varies widely from jurisdiction to jurisdiction
- Determined on a case-by-case basis resulting in fact-intensive court decisions
- Courts have not adequately defined bad faith behavior
- In addition, certain common law states are currently considering enacting legislation that would only be effective during states of emergency declared by either the governor or president and would basically create a private right of action for unfair claim settling practices

Claim Handling in Common Law Bad Faith States: Recent Case Law Examples

Example #1 (Oklahoma):

- In July, Insured's truck was stolen while insured was on vacation. The vehicle had been parked in a public lot with a "for sale" sign in the window.
- The next day, the insured reported the claim, explaining the two keys were in her possession and that she was out of town at the time the truck was stolen.
- Three weeks later, the insurer suspected insurance fraud and had its special investigation unit investigate claim under a reservation of rights
- In November, insurer ruled out fraud and agreed to pay on claim
- Insured filed suit, alleging bad faith – investigation was untimely and improper

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Claim Handling in Common Law Bad Faith States: Recent Case Law Examples

Example #1 (Oklahoma):

- Court held that "[e]very insurance contract carries with it the duty to act fairly and in good faith in discharging its contractual responsibilities," which extends to claims investigations.
- Court looked at *whether the insurer had justifiable reasons* for actions it took or omitted to take.
- Court held that insurer **did not** act in bad faith, noting that "an insurer's investigation need only be reasonable, not perfect."

Claim Handling in Common Law Bad Faith States: Recent Case Law Examples

Claim Handling in Common Law Bad Faith States: Recent Case Law Examples

Example # 2 (Wisconsin)

- Insured's indoor arena at its riding stable collapsed and insured made a claim for windstorm damage (covered peril)
- Insured contacted insurer, and insurer's representative told insured they were not covered (assumed it was caused by snow)
- Insurer's representative visited site next day with adjuster who noted that wind and snow caused collapse
- Insurer's expert (architect) conducted a detailed investigation and issued a report which concluded that the collapse was caused by wind (covered peril)
- Insurer hires another expert (expert in forensics) who then concludes collapse was caused by snow
- Insurer denies claim, claiming collapse of building was caused by

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Claim Handling in Common Law Bad Faith States: Recent Case Law Examples

- **Court affirmed jury's determination that insurer acted in *Bad Faith***
- **There was credible evidence to show that "[a] reasonable insurer, under the circumstances here, should not automatically determine the collapse to be caused by an excluded peril and then hire expert after expert until it finds one that comports with its initial determination. . . . [but rather] a reasonable insurer will conduct a neutral, detached investigation . . . ."**
- **Importantly, however, the court stated that "an insurance company is not open to suit for bad faith every time it rejects the opinion of the first expert retained and hires a second or third instead." Insurer may have "perfectly good reasons for not relying on the first expert hired."**
- **Court reversed punitive damage award, noting that there was no "malice" shown towards the insured.**

Potential Damages in Bad Faith Claims

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Categories of Potential Damages

1. **Actual/Compensatory**

2. **Prompt Payment**

3. **Punitive**

4. **Attorneys' Fees**

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Actual/Compensatory Damages

- **Amount Due Under Insurance Contract**

- **Amount Attributed to Bad Faith**

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Prompt Payment Damages

- **Strictly Statutory**
- **Timing and Damages Vary by State**
- **Automatic payment *in addition to* amount of claim**
- **Good faith claims handling is not a defense**

Prompt Payment Damages

Louisiana Statute

"[A]ll insurers . . . shall pay the amount of any claim due any insured within **thirty days** after receipt of satisfactory proofs of loss from the insured. … Failure to make such payment within thirty days after receipt of such satisfactory written proofs . . . when such failure is found to be arbitrary, capricious, or without probable cause," **shall subject the insurer to a penalty of 50% of the loss, or one thousand dollars, whichever is greater, and attorneys' fees and costs.**

Texas Statute

"… if an insurer, after receiving all items, statements, and forms reasonably requested and required under Section 542.055, delays payment of the claim for a period exceeding the period specified by other applicable statutes or, if other statutes do not specify a period, for more than **60 days**, the insurer" **will be assessed interest on the claim at 18% a year as well as attorneys' fees and court costs.**

Punitive Damages

- **Purpose: punish insurer and deter other insurers**
- **Standard: varies, but typically more than bad faith**
- **Payment for multiples of actual damages**
- **State-by-state caps on multiples**
  - **Statutory**
  - **Case law**

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Attorneys' Fees

- **Statutory**

- **Common law**

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Avoiding Bad Faith Damages

- **While judgments for bad faith are not a common occurrence, they can be *enormous*.**
- **They can harm your career.**
- **They can be difficult to appeal and are often not reinsured.**

Proving Bad Faith In The Courtroom

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Evidence Used to Prove Bad Faith Conduct

- Insurance Policy
- Underwriting File
- Claims File
- Internal Communications
- External Communications
  - Reinsurers
  - Consultants

Assume all communications will end up in the hands of the insured, a judge and a jury

Evidence Used to Prove Bad Faith Conduct

Assume all communications will end up in the hands of the insured, a judge and a jury

Good Cop, Bad Cop

----Reply Message----
From: Adjuster 2
Sent: Sat April 7, 2015 1:37 PM
To: Adjuster 1
Subject: RE: Factory

Thanks, you keep playing the good cop!

Sincerely yours,
Bad cop

-----Original Message----
From: Adjuster 1
Sent: Sat April 7, 2015 10:15 AM
To: Adjuster 2
Subject: Factory

Attached is a copy of the scope and cost on the Factory from the expert. The Number was higher than my first indication, my error. There was more info. Than anticipated. Please call me if you have questions. I'll do a statement of loss – it'll be with her on Monday.

Settlement Strategy or Bad Faith

From: Market Member 1
Sent: Friday, January 15, 2010 4:50 PM
To: Market Member 2
Subject: Advance Payments/ Negotiating Strategy

Dear Fellow Market Member,

As we discussed, it appears that the Market has not paid the entire amount of advanced payments due to the insured. As we understand, the insured is on the verge of going under, so we might want to use this as a bargaining ploy to pay less.

Let's discuss.

Sincerely,
Market Member 1

I'M NOT PAYING!

----Reply Message----
From: Underwriter
Sent: Thursday, November 15, 2012 9:57 AM
To: Senior Claims Adjuster
Subject: RE: Fire Claim Status Update

WTF!! I read that report too. IT WAS ARSON – this guy is a crook or at least negligent. I'M NOT PAYING THIS CLAIM!!!!! And anyway the place looks just fine on google earth.

-----Original Message----
From: Senior Claims Adjuster
Sent: Thursday, November 15, 2012 9:45 AM
To: Underwriter
Subject: Fire Claim Status Update

As discussed in the claims meeting on Wednesday, we now have the expert's report on this loss. There are some quantum questions but we should make provision for an interim payment.

Let me know if you have any comments.
Senior Claims Adjuster

Evidence Used to Prove Bad Faith Conduct

- Continuing education ethics training requirements for states' adjuster licensing
- Internal claim handling guidelines, policies and procedures
- Internal company adjusters' training requirements
- Internal company codes of professional conduct
- Professional organization codes of conduct

Checklist of Good Faith Claim Handling Practices

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Checklist of Good Faith Claim Handling Practices

For the Adjuster:

- ✓ Do not predetermine coverage.

Checklist of Good Faith Claim Handling Practices

For the Adjuster:

- ✓ Complete a reasonable investigation in a timely manner.
- ✓ Confirm and document coverage.
- ✓ Consider all information the insured has provided.
- ✓ Clearly and promptly document each activity on the claim, including:
  - ✓ Your efforts to investigate;
  - ✓ Communications to and from insured;
  - ✓ Consideration of insured's evidence;
  - ✓ An insured's refusal to cooperate and/or follow normal protocols for mitigation; and
  - ✓ Your consultations with your supervisor.
- ✓ Fact-based claims notes and e-mail communications (avoid opinion).

Don’t Misrepresent Coverage

“I think you misunderstood. The million dollar umbrella policy only covers you for claims involving an umbrella.”

Checklist of Good Faith Claim Handling Practices

For the Adjuster:

- ✓ Don't delay: Take Action
  - ✓ Substantively and promptly respond to an insured's communications.
  - ✓ Avoid asking the insured to do something that you can do just as easily.
  - ✓ Avoid duplicative investigations.
  - ✓ Pay undisputed amounts in a timely manner. If there are outstanding or disputed amounts advise of such in writing along with the payment of the undisputed amount. Follow up in writing for outstanding issues on a regular basis.
- ✓ Seek the insured's cooperation to efficiently resolve the claim. If the insured rejects your efforts, don't dig in. Try something different and keep it positive and professional.

Checklist of Good Faith Claim Handling Practices

For the Adjuster:

- ✓ Don’t delay: Take Action!

Checklist of Good Faith Claim Handling Practices

For the Adjuster:

- ✓ Communication with your insured is “key.” Complaints almost always involve a communication breakdown.

Checklist of Good Faith Claim Handling Practices

For the Supervisor:

- ✓ Make sure that each claim representative has documented supervision.
- ✓ Have a clear protocol for escalating claims that don't progress normally.
- ✓ Foster an environment in which each claim representative seeks input and guidance and where an adjuster can come to the supervisor or manager after making a mistake.
- ✓ Regular training and briefing/de-briefing helps.
- ✓ Have a protocol for exercising policy conditions (proof of loss, EUO, appraisal, etc.) that ensures consideration of consequences.

Checklist of Good Faith Claim Handling Practices

If working with a vendor:

- ✓ "Vet" vendors
- ✓ Make sure the vendor has the experience and skill to handle the demands of the particular claim
- ✓ Provide detailed written instructions at the outset
- ✓ Actively supervise vendor's work
- ✓ Regularly re-visit the last written instructions and ask: "do my instructions need an update?"
- ✓ Compliance with any company guidelines for vendors

Thank you!